products may be for consumption in the same household or, for sale in local (village) markets, or, for barter. Capital and transportation do not wield much influence as this type of manufacturing has low commercial significance and most of the tools are devised locally.

Statement II: CORRECT—Small scale manufacturing is distinguished from household industries by its production techniques and place of manufacture (a workshop outside the home/cottage of the producer). This type of manufacturing uses local raw material, simple power-driven machines and semiskilled labour. It provides employment and raises local purchasing power. Therefore, countries like India, China, Indonesia and Brazil, etc., have developed labour-intensive small scale manufacturing in order to provide employment to their population.

53. Statement I: CORRECT—Agro processing involves the processing of raw materials from the field and the farm into finished products for rural and urban markets. Major agro-processing industries are food processing, sugar, pickles, fruits juices, beverages (tea, coffee and cocoa), spices and oils fats and textiles (cotton, jute, and silk), rubber, etc.

Agro processing includes canning, producing cream, fruit processing and confectionery. While some preserving techniques, such as drying, fermenting and pickling, have been known since ancient times, these had limited applications to cater to the pre-Industrial Revolution demands.

Statement II: INCORRECT—Mineral industries use minerals as a raw material. Some industries use ferrous metallic minerals which contain ferrous (iron), such as iron and steel industries but some use non-ferrous metallic minerals, such as aluminium, copper and jewellery industries. Many industries use non-metallic minerals such as cement and pottery industries.

54. Statement I: CORRECT—Public Sector Industries are owned and managed by governments. In India, there were a number of Public Sector Undertakings (PSUs). Socialist countries have many state owned industries. Mixed economies have both Public and Private sector enterprises.